

CANADA BREAD COMPANY, LIMITED

MANAGEMENT'S DISCUSSION AND ANALYSIS

FOR THE FIRST QUARTER ENDED

MARCH 31, 2013

Management's Discussion and Analysis

For the first quarter ended March 31, 2013

May 1, 2013

FINANCIAL OVERVIEW

Canada Bread Company, Limited ("the Company") sales for the first quarter decreased 0.4% to $368.7 million, but increased 0.6% after adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K. This increase in sales was mostly due to price increases in the fresh and North American frozen bakery businesses and higher croissant volumes in the U.K., all of which were partly offset by lower volumes in the fresh bread business.

Adjusted Operating Earnings[(i) (ii)] for the first quarter increased to $17.1 million compared to $7.9 million last year, largely due to improved performance in the fresh bakery business. Results from the frozen and fresh pasta businesses also increased while earnings from the U.K. operations were consistent with last year.

Net earnings[(i)] in the quarter were $2.3 million ($0.09 basic earnings per share) compared to $0.2 million ($0.01 basic earnings per share) last year which included $10.4 million of pre-tax restructuring and other related costs (2012: $5.9 million). Adjusted Earnings per Share[(i) (iii)] for the first quarter were $0.45 compared to $0.19 last year.

Notes:

(i) 2012 figures have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements.

(ii) Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures on page 9.

(iii) Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for all items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures on page 9.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ thousands) (Unaudited)	First Quarter		
	2013	2012	Change
Fresh Bakery	**$ 242,665**	$ 248,183	(2.2)%
Frozen Bakery	**126,040**	122,061	3.3%
Total Sales	**$ 368,705**	$ 370,244	(0.4)%

The following table summarizes Adjusted Operating Earnings by business segment:

($ thousands) (Unaudited)	First Quarter		
	2013	2012[(i)]	Change
Fresh Bakery	**$ 13,260**	$ 6,589	101.2%
Frozen Bakery	**3,841**	1,267	203.2%
Adjusted Operating Earnings	**$ 17,101**	$ 7,856	117.7%

(i) 2012 Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited consolidated condensed interim financial statements.

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the first quarter declined 2.2% to $242.7 million from $248.2 million last year as lower volumes were partly offset by price increases implemented at the fresh bread business.

Adjusted Operating Earnings increased to $13.3 million compared to $6.6 million last year. The substantial earnings increase in the fresh bread business was mostly the result of improved operating efficiencies, contribution from the new Hamilton, Ontario bakery and non-recurrence of SAP start-up costs incurred last year. Also benefiting earnings were price increases and lower advertising & promotional costs. During the quarter, approximately $3 million of duplicative overhead costs were incurred, pending the closure of a third Toronto bakery. These costs, expected to be approximately $5 million in total for the first half of the year, will be eliminated in early June when the bakery is closed and production transferred to the Company's recently constructed Hamilton, Ontario bakery. Earnings improvement in the fresh pasta business resulted from an inventory write-off in the first quarter of last year that did not re-occur.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the first quarter increased 3.3% to $126.0 million from $122.1 million in 2012. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 6.4%, primarily due to higher croissant volumes in the U.K. bakery, as well as higher pricing in the North American business.

Adjusted Operating Earnings for the first quarter increased to $3.8 million compared to $1.3 million last year. Higher margins in the North American frozen bakery business were largely due to price increases implemented during the quarter. Although the U.K. bakery business benefited from higher volumes and the closure of the Walsall facility last year, increased marketing spending during the quarter to support continued growth of the *New York Bakery* brand offset these improvements.

GROSS MARGIN

Gross margin in the first quarter was $67.9 million (or 18.4% of sales) compared to $61.8 million (or 16.7% of sales) last year. The improvement was driven by increased operating efficiencies, improved pricing in the North American fresh bread and frozen bakery businesses, higher volumes in the U.K., and non-recurrence of a write-off of fresh pasta last year. These benefits were partly offset by lower volumes in the fresh bread business.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses decreased by 5.7% to $50.8 million (or 13.8% of sales) in the first quarter of 2013 compared to $53.9 million (or 14.6% of sales) last year. The decrease is primarily due to lower advertising & promotional spending in the Fresh Bakery segment.

OTHER INCOME

Other expense for the first quarter of 2013 was $2.5 million compared to other income of $nil last year, primarily related to a $3.6 million impairment on long lived assets of a U.K. specialty products bakery that is expected to be sold in the second quarter.

RESTRUCTURING AND OTHER RELATED COSTS

During the three months ended March 31, 2013, the Company recorded restructuring and other related costs of $10.6 million ($7.8 million after-tax), before the impact of any reversals.

Of this pre-tax amount, $7.6 million related to severances and other related costs in connection with changes in management structure. A further $2.7 million the closure of bakeries in Grand Falls, New Brunswick and Edmonton, Alberta comprising severance and other employee related costs of $1.7 million, accelerated depreciation on assets of $0.5 million and $0.5 million in other project related costs. The balance of restructuring costs of $0.3 million was in connection with other on-going restructuring initiatives.

During the three months ended March 31, 2012, the Company recorded restructuring and other related costs of $5.9 million ($4.6 million after-tax), before the impact of any reversals.

Of this pre-tax amount, $3.7 million related to accelerated depreciation and other costs in connection with the closure of the Walsall, U.K. bakery. A further $2.0 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs of $0.2 million was incurred in connection with other on-going restructuring initiatives.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at March 31, 2013 and March 31, 2012, all on a pre-tax basis:

	Severance	**Site closing and other cash costs**	**Asset impairment and accelerated depreciation**	**Retention**	**Pension**	**Total**
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ –**	**$ 62**	**$ –**	**$ 10,558**
Charges	**9,751**	**623**	**635**	**213**	**(650)**	**10,572**
Reversals	**(161)**	**–**	**–**	**–**	**–**	**(161)**
Cash payments	**(2,972)**	**(865)**	**–**	**(163)**	**–**	**(4,000)**
Non-cash items	**–**	**–**	**(635)**	**–**	**650**	**15**
Balance at March 31, 2013	**$ 13,184**	**$ 3,688**	**$ –**	**$ 112**	**$ –**	**$ 16,984**

	Severance	Site closing and other cash costs	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2012	$ 14,975	$ 6,776	$ –	$ 1,196	$ –	$ 22,947
Charges	127	1,094	4,628	35	–	5,884
Cash payments	(7,125)	(2,732)	–	(377)	–	(10,234)
Non-cash items	144	(144)	(4,628)	–	–	(4,628)
Balance at March 31, 2012	$ 8,121	$ 4,994	$ –	$ 854	$ –	$ 13,969

INCOME TAXES

The Company's income tax expense in the first quarter of 2013 was comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 28.9% (2012: 36.4%) and taxes recoverable on restructuring and other related costs at a rate of 26.0% (2012: 22.3%). The lower tax rate on operating earnings in the first quarter of 2013 was a result of the relative proportion of earnings in different tax jurisdictions.

TRANSACTIONS WITH RELATED PARTIES

The Company is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"). Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions to the pre-existing agreement.

Fees paid to Maple Leaf in the three months ended March 31, 2013 for these services were $13.2 million (2012: $12.4 million). At March 31, 2013, the total outstanding balance payable to Maple Leaf was $5.1 million (2012: $3.7 million).

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. At March 31, 2013 the Company had drawn $1.5 million (2012: $2.4 million) against this facility.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $2.4 million in the three months ended March 31, 2013 (2012: $3.0 million).

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, particularly wheat costs, seasonal and other market-related price changes. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements are funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance on-going business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

As at March 31, 2013, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $86.9 million (2012: $278.0 million), and available cash of $92.4 million (2012: $37.3 million). There were $14.9 million in letters of credit outstanding as at March 31, 2013 (2012: $10.8 million). The Company's principal credit facility is subject to certain financial covenants. As at March 31, 2013 the Company was in compliance with all of its covenants.

To access competitively priced financing and to further diversify its funding sources, the Company operates a three-year committed accounts receivable securitization facility. Under the facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AA. The receivables are sold at a discount to face value based on prevailing money market rates. At March 31, 2013, the Company had $92.5 million (2012: $96.8 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $49.9 million (2012: $44.9 million) and a note receivable in the amount of $42.6 million (2012: $51.9 million). The maximum amount available to the Company under this program is $60.0 million. The facility expires in October 2013 and Management expects to renew the facility prior to its expiration date.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the first quarter of 2013. This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS"). If the facility was terminated, the Company would recognize the securitized amounts on the consolidated balance sheet and would consider alternative financing if required.

CAPITAL EXPENDITURES

Capital expenditures in the first quarter of 2013 were $6.5 million, compared to $10.7 million in the first quarter of 2012. Capital expenditures are lower as the Hamilton bakery is mostly complete, and capital investments are expected to return to lower, historical levels. During 2013, the Company will continue to invest in an expansion of its bagel production capacity in the U.K. to meet increasing demand for its bagel products.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $87.8 million at the end of the quarter, compared to $87.1 million as at December 31, 2012 and $33.2 million at the end of the first quarter of 2012. The increase in cash for the quarter is mainly due to cash generated from operations offset by increased dividend payments and investment in property and equipment.

Cash Flow from Operating Activities

Cash flow from continuing operations in the first quarter of 2013 was an inflow of $17.0 million compared to an outflow of $5.5 million in the prior year period. The increase is mainly attributable to higher Adjusted Operating Earnings and a decreased investment in working capital compared to the prior year period.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $11.1 million in the first quarter of 2013 compared to an outflow of $5.1 million in the prior year period, due to an increase in the rate of the quarterly dividend payment.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $3.9 million in the first quarter of 2013 compared to an outflow of $8.2 million in the prior year period, as a result of decreased capital expenditures primarily related to the completion of the new bakery facility in Hamilton, Ontario.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice sectors. The Company performs on-going credit evaluations of new and existing customers' financial conditions and reviews the collectability of its trade accounts receivable and other receivables in order to mitigate any possible credit losses. As at March 31, 2013, approximately $0.2 million (2012: $0.5 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures. As at March 31, 2013, the Company has recorded an allowance for doubtful accounts of $nil (2012: $2.0 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts.

SUBSEQUENT EVENTS

On April 4, 2013, the Company entered into an agreement to sell a bakery, producing specialty products, located in London, U.K.

On April 16, 2013, the Company announced plans to close a bakery in Shawinigan, Quebec on May 3, 2013. The Company will incur approximately $3.1 million before taxes in restructuring costs, including approximately $1.6 million of cash costs.

OTHER MATTERS

On May 1, 2013, the Company declared a dividend of $0.50 per share payable on July 2, 2013 to shareholders of record at the close of business on June 7, 2013. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year[iii]
Sales[i]	**2013**	**$ 368,705**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	370,244	404,861	401,494	390,701	1,567,300
	2011	371,760	406,245	417,171	400,280	1,595,456
Net earnings (loss)[i][ii]	**2013**	**$ 2,281**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	159	26,095	23,535	21,691	71,480
	2011	(966)	14,904	30,256	7,757	51,951
Earnings (loss) per Share[i][ii]						
Basic and diluted	**2013**	**$ 0.09**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	0.01	1.03	0.93	0.85	2.81
	2011	(0.04)	0.59	1.19	0.31	2.04
Adjusted EPS[iv]	**2013**	**$ 0.45**	**$ –**	**$ –**	**$ –**	**$ –**
	2012	0.19	1.06	0.93	0.97	3.15
	2011	0.56	0.97	1.24	0.67	3.43

[i] *Figures are in accordance with IFRS and the net earnings, earnings per share and Adjusted Earnings per Share are based on amounts attributable to common shareholders.*

[ii] *2012 Net earnings (loss) and earnings per share have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements. 2011 figures have not been restated.*

[iii] *May not add due to rounding.*

[iv] *Refer to Non-IFRS Financial Measures starting on page 10.*

Quarterly sales in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the North American fresh and frozen bakery businesses
- lower sales volume in the fresh bakery business
- higher volumes in the U.K. bakery business
- exiting fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2013 were affected by the following significant items:

- price increases implemented during 2013 at the North American fresh and frozen bakery businesses
- lower volumes in the fresh bakery business
- improved operating efficiencies at the fresh bakery business, including lower waste and the contribution of the new Hamilton fresh bakery
- lower advertising and promotional expenses at the fresh bakery business compared to last year
- duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit of certain bread categories in the U.K.
- inventory write-down in the fresh pasta business during the first quarter of 2012 that was not repeated
- lower selling, administrative and general management costs
- an impairment charge on long lived assets of a U.K. specialty products bakery which the Company entered into an agreement to sell subsequent to March 31, 2013
- restructuring and other related costs

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations
- lower sales volumes in the Company's fresh bread business
- the sale of the fresh sandwich product line at the beginning of 2011
- the Company's exit from fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bread and fresh pasta businesses
- supply chain issues experienced in the fresh pasta business
- inventory write-downs in the fresh pasta business during the first quarter of 2012
- duplicative overhead costs during the first nine months related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.
- lower raw material costs as a result of positive hedging activities
- lower selling, administrative and general management costs
- higher inflationary costs in the business
- restructuring and other related costs
- settlement of a legal claim in the second quarter of 2012 related to the Company's fresh sandwich product line which was sold in 2011.

SIGNIFICANT ACCOUNTING POLICIES

Accounting Standards Adopted During the Period

The Company applied, for the first time, certain standards and amendments, some of which required restatement of previous financial statements. This included IFRS 10 *Consolidated Financial Statements*, IFRS 11 *Joint Arrangements*, IAS 19 (2011) *Employee Benefits*, IFRS 13 *Fair Value Measurement* and amendments to IAS 1 *Presentation of Financial Statements*. As required by IAS 34 *Interim Financial Reporting and IAS 8 Accounting Policies, Change in Accounting Estimates and Errors*, the nature and the effect of these changes are disclosed below. In addition, the application of IFRS 12 *Disclosure in Other Entities* will result in additional disclosures that the Company will disclose for the first time in the annual consolidated financial statements for the year ending December 31, 2013.

Several other new standards and amendments apply for the first time in 2013. However, they do not impact the annual consolidated financial statements of the Company or the interim consolidated financial statements of the Company.

The nature and the impact of each new standard is described below:

Financial Assets and Liabilities

During the quarter the Company adopted certain amendments to IFRS 7 *Financial Instruments: Disclosures* on a retrospective basis. These amendments contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. As the Company is not offsetting financial instruments and does not have relevant offsetting arrangements, the adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company.

Consolidated Financial Statements

During the quarter the Company adopted IFRS 10 *Consolidated Financial Statements* on a retrospective basis. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements* that address consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPEs")*, in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27. The adoption of IFRS 10 had no impact on the Company's Financial Statements.

Joint Arrangements

During the quarter the Company adopted the amendment to IFRS 11 *Joint Arrangements* on a retrospective basis. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As the Company does not have any joint arrangements, the adoption of IFRS 11 did not have any impact on the Company.

Disclosure of Interests in Other Entities

During the quarter the Company adopted IFRS 12 *Disclosure of Interests in Other Entities*. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. Any new disclosure required by the adoption of this standard will be presented for the first time in the annual financial statements for the year ending December 31, 2013.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. The Company adopted IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The disclosure requirements are not required for interim consolidated financial statements, unless significant events and transactions in the interim period require that they are provided. Accordingly, the Company will make any relevant disclosures in its annual statements for the year ending December 31, 2013.

Fair Value Measurement

During the quarter the Company adopted IFRS 13 *Fair Value Measurement* on a prospective basis. IFRS 13 replaces the fair value measurement guidance contained in individual IFRS with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The adoption of IFRS 13 did not have a material impact on the fair value measurements carried out by the Company. Additional disclosures required as a result of the adoption of IFRS 13 are included in Note 11 of the unaudited condensed consolidated financial statements.

Presentation of Items of Other Comprehensive Income – Amendment to IAS 1

During the quarter the Company adopted the amendment to IAS 1 *Presentation of Financial Statements* on a retrospective basis. The amendment requires that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The amendment affected the presentation of the consolidated statement of other comprehensive income and had no impact on the financial results of the Company.

Employee Benefits

During the quarter the Company adopted the revised IAS 19 *Employee Benefits* on a retrospective basis with restatement. The revised standard requires that the calculation of expected return on assets and interest cost be replaced with a net interest, calculated based on the discount rate at the beginning of the year multiplied by the net position of the plan. The revised standard also requires that administrative fees of the plan be expensed by the

Company as incurred rather than included in the expected return. The impact of adopting revised IAS 19 was a decrease in earnings before tax of $0.9 million ($0.7 million after-tax) for the quarter ended March 31, 2012, which is further discussed in Note 18 of the unaudited condensed consolidated financial statements. This standard also has other amendments clarifying the timing of recognition of termination benefits, the adoption of which had no impact to the Company.

Recent Accounting Pronouncements

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to IAS 32 *Financial Instruments: Presentation*. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The effective date for the amendments to IAS 32 is annual periods beginning or after January 1, 2014. The Company intends to adopt the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

There have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2013 and ended on March 31, 2013 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results. It is defined as earnings before income taxes adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in the earnings in futures periods when the underlying asset is sold or transferred. The table below provides a reconciliation of net earnings as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three month periods as indicated below to Adjusted Operating Earnings. Management believes that this basis is the most appropriate on which to evaluate operating results, as they are representative of the on-going operations of the Company.

($ thousands) *(Unaudited)*	Three months ended March 31, 2013 Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ 2,281**
Income taxes			**1,499**
Earnings from operations before income taxes			**$ 3,780**
Interest expense			**397**
Earnings from operations before interest and income taxes	**$ 4,157**	**$ 20**	**$ 4,177**
Other (income) expense	**(1,298)**	**3,811**	**2,513**
Restructuring and other related costs	**10,401**	**10**	**10,411**
Adjusted Operating Earnings	**$ 13,260**	**$ 3,841**	**$ 17,101**

($ thousands) *(Unaudited)*	Three months ended March 31, 2012[i] Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 159
Income taxes			1,398
Earnings from operations before income taxes			$ 1,557
Interest expense			437
Earnings from operations before interest and income taxes	$ 4,673	$ (2,679)	$ 1,994
Other (income) expense	(231)	209	(22)
Restructuring and other related costs	2,147	3,737	5,884
Adjusted Operating Earnings	$ 6,589	$ 1,267	$ 7,856

[i] *2012 Net earnings and Adjusted Operating Earnings have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements.*

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate on-going financial operating results. It is defined as basic earnings per share attributable to common shareholders, and is adjusted for items that are not considered representative of on-going operational activities of the business, and items where the economic impact of the transactions will be reflected in earnings in future periods when the underlying asset is sold or transferred. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the unaudited condensed consolidated interim statements of earnings for the three month periods as indicated below to Adjusted Earnings per Share. Management believes this basis is the most appropriate on which to evaluate financial results as they are representative of the on-going operations of the Company.

($ per share) *(Unaudited)*	Three months ended March 31, **2013**	2012[i]
Basic earnings per share	**$ 0.09**	$ 0.01
Items not considered representative of on-going operations[ii]	**0.06**	–
Restructuring and other related costs[iii]	**0.30**	0.18
Adjusted Earnings per Share[iv]	**$ 0.45**	$ 0.19

[i] *2012 Basic earnings per share and Adjusted Earnings per Share have been restated for the impact of adopting the revised International Accounting Standard 19 Employee Benefits ("IAS 19"), as disclosed in Note 18 of the Company's 2013 first quarter unaudited condensed consolidated interim financial statements.*

[ii] *Includes gains/losses associated with non-operational activities, including gains/losses related to restructuring activities, business combinations, discontinued operations, and assets held for sale, all net of tax.*

[iii] *Includes per share impact of restructuring and other related costs, net of tax.*

[iv] *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the unaudited condensed consolidated interim balance sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

($ thousands) *(Unaudited)*	As at March 31, **2013**	2012
Bank indebtedness	**$ 3,088**	$ 4,786
Current portion of long-term debt	**531**	2,567
Long-term debt	**4,138**	1,567
Sub-total	**$ 7,757**	$ 8,920
Cash and cash equivalents	**(95,526)**	(42,070)
Net cash	**$(87,769)**	$(33,150)

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by Management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for on-going business requirements including renewal of existing securitization facilities, capital investments and debt repayment, expectations regarding LEED® certification, expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from on-going litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's systems and processes
- the risks associated with the management service agreement with Maple Leaf
- the Company's exposure to currency exchange risks

- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks related to capital expansion projects
- the risks posed by food contamination, consumer liability and product recalls
- the risks related to acquisitions and divestitures
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2012 that is available on SEDAR at www.sedar.com. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2012 sales of $1.6 billion and employs approximately 6,400 people at its operations across North America and in the United Kingdom.